

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE SENATE

SENATE BILL NO. 1438

BY FINANCE COMMITTEE

AN ACT

RELATING TO THE APPROPRIATION TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF THE IDAHO DIGITAL LEARNING ACADEMY; REDUCING THE APPROPRIATION TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF THE IDAHO DIGITAL LEARNING ACADEMY FOR FISCAL YEAR 2027; REDUCING THE TRANSFER FROM THE GENERAL FUND TO THE PUBLIC SCHOOL INCOME FUND; CLARIFYING THE ORIGINAL FUND SOURCE FOR EXPENDITURES IN THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF THE IDAHO DIGITAL LEARNING ACADEMY FOR FISCAL YEAR 2027; RESTRICTING WITHDRAWALS FROM THE PUBLIC EDUCATION STABILIZATION FUND AND PROVIDING FOR REDUCED OFFERINGS AS NECESSARY; REQUIRING A REPORT ON DEI COMPLIANCE; PROVIDING LEGISLATIVE INTENT ON THE IDAHO DIGITAL LEARNING ACADEMY FUNDING PROCESS AND REQUIRING A REPORT; PROVIDING FOR CONDITIONS, LIMITATIONS, AND RESTRICTIONS; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. Notwithstanding any other provision of law to the contrary, the appropriation made to the Public Schools Educational Support Program's Division of the Idaho Digital Learning Academy is hereby reduced by \$13,500,000 from the Public School Income Fund for the period July 1, 2026, through June 30, 2027.

SECTION 2. Notwithstanding any other provision of law to the contrary, the transfer made from the General Fund to the Public School Income Fund in Section 32 of Senate Bill No. 1362, if enacted by the Second Regular Session of the Sixty-eighth Idaho Legislature, is hereby reduced by \$13,500,000 for the period July 1, 2026, through June 30, 2027.

SECTION 3. Of the amounts reduced in Section 1 of this act for the Public Schools Educational Support Program's Division of the Idaho Digital Learning Academy, \$13,500,000 shall be reduced from the amounts considered expended from the General Fund for the period July 1, 2026, through June 30, 2027.

SECTION 4. RESTRICTING WITHDRAWALS AND PROVIDING FOR REDUCED OFFERINGS. Notwithstanding the provisions of Section 33-907, Idaho Code, and any other provision of law to the contrary, no moneys shall be withdrawn from the Public Education Stabilization Fund for the Idaho Digital Learning Academy for services provided during the period July 1, 2026, through June 30, 2027. The Idaho Digital Learning Academy shall rely on existing cash balances for any costs associated with eligible enrollments above the appropriation. Notwithstanding the provisions of Section 33-1020, Idaho Code, and any other provision of law to the contrary, the Idaho Digital Learning Academy shall

1 reduce offerings and deny eligible enrollments as necessary to maintain a
2 positive cash balance.

3 SECTION 5. DEI COMPLIANCE. The Idaho Digital Learning Academy shall
4 verify that no state-appropriated funds are used to support courses related
5 to diversity, equity, inclusion, or social justice ideology that do not
6 comply with the dignity and nondiscrimination standards stated in Section
7 33-138, Idaho Code. The Idaho Digital Learning Academy shall submit a report
8 to the Joint Finance-Appropriations Committee by December 1, 2026, to verify
9 compliance. For any course found to be out of compliance, the report shall
10 include details of all expenditures associated with that course. The format
11 and content of the report will be determined in consultation with the Budget
12 and Policy Analysis Division of the Legislative Services Office.

13 SECTION 6. IDAHO DIGITAL LEARNING ACADEMY FUNDING PROCESS. The Leg-
14 islature shall consider policies to verify funds provided by the state for
15 match of individual student enrollment, which may include changing how the
16 state, districts, charters, and public are billed for courses at the Idaho
17 Digital Learning Academy (IDLA). To assist the Legislature, IDLA shall
18 provide a report to the Budget and Policy Analysis Division of the Legisla-
19 tive Services Office that details the information and cost relating to each
20 available service, class, and course, how IDLA determined the budgeted
21 amount for each service, class, or course, and a detailed report on budgeted
22 and expenditure data for costs associated with operating IDLA. Information
23 provided on services, classes, and courses shall include data on the split of
24 synchronous and asynchronous offerings, enrollments by course, enrollments
25 by grade level, number of and type of courses, the split of course enroll-
26 ments by local education agency separated at the course level, and the number
27 of graduation requirement courses versus elective courses with their re-
28 lated enrollments, and other defining factors. The report shall be provided
29 no later than August 1, 2026, based on data from the 2025-2026 school year.
30 The format and content of the report will be determined in consultation with
31 the Budget and Policy Analysis Division of the Legislative Services Office.

32 SECTION 7. CONDITIONS, LIMITATIONS, AND RESTRICTIONS. Appropriations
33 made pursuant to this act are subject to the conditions, limitations, and re-
34 strictions specified in this act.

35 SECTION 8. An emergency existing therefor, which emergency is hereby
36 declared to exist, this act shall be in full force and effect on and after
37 July 1, 2026.